

Principles of Microeconomics Terminology and Key Points

Author: Shun (@shun4midx)

Chapter 1: Ten Principles of Economics

Ten Principles of Economics

How People Make Decisions

1. People face trade-offs
2. The cost of something is what you give up to get it
3. Rational people think at the margin
4. People respond to incentives

How People Interact

5. Trade can make everyone better off
6. Markets are usually a good way to organize economic activity
7. Governments can sometimes improve market outcomes

How the Economy as a Whole Works

8. A country's standard of living depends on its ability to produce goods and services
9. Prices rise when the government prints too much money
10. Society faces a short-run trade-off between inflation and unemployment

What is Economics?

- **Scarcity:** The limited nature of society's resources
- **Economics:** The study of how society manages its scarce resources

How People Make Decisions

- **Efficiency:** The property of society getting the most it can from its scarce resources.
- **Equality:** The property of distributing economic prosperity uniformly among the members of society
- **Opportunity cost:** Whatever must be **given up** to obtain that item
- **Rational people:** People who systematically do the best they can to achieve their objectives, given the opportunities available to them
- **Marginal change:** A small **incremental adjustment** to an existing plan of action

- **Incentive**: Something that induces a person to act, such as a *punishment or a reward*
- **Sunk cost**: Cost that is gone **regardless of what's decided next**

How People Interact

- **Market economy**: An economy that allocates resources through the **decentralized decisions** of many firms and households as they **interact in markets** for goods and services
- **Adam Smith's Invisible Hand** steers markets and households towards outcomes that maximize the well-being of society as a whole
- **Property rights** are the ability of an individual to **own and exercise control** over scarce resources
- **Market failure** is a situation in which a market left on its own **fails to allocate resources efficiently**
- **Externality**: The effect of one person's actions on a bystander (e.g. pollution)
- **Market power**: A single actor's ability to influence market prices (e.g. monopoly)

How the Economy as a Whole Works

- **Productivity** is the **quantity of goods and service** produced from **each unit** of labor input
- **Inflation** is an **increase in the overall level of prices** in the economy
- **The business cycle** refers to fluctuations in economic activity, such as employment and production